October 30, 2026

Five-Star Business Finance Limited: Rating actions for PTCs issued under three small business loan securitisation transactions

Summary of rating action

Trust name	Instrument*	Initial rated amount (Rs. crore)	Amount O/s after last surveillance exercise (Rs. crore)	Current rated amount (Rs. crore)	Rating action	Financial sector regulator#
Dhruva XXI 2023	PTC Series A1(a)	85.50	56.23	31.91	[ICRA]AA+(SO); upgraded from [ICRA]AA(SO)	RBI$
Dhruva XX 2023	PTC Series A1	124.98	63.47	35.69	[ICRA]AAA(SO); upgraded from [ICRA]AA+(SO)	RBI
Dhruva XVIII 09 2023	PTC Series A1	351.89	173.64	92.67	[ICRA]AAA(SO); reaffirmed	RBI

**Instrument details are provided in Annexure I*

#SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI.

$ By virtue of the instrument being listed, SEBI acts as the regulator for listing and related issues.

Rationale

The pass-through certificates (PTCs) are backed by three pools backed by receivables from small business loans originated by Five-Star Business Finance Limited (FSBFL/Originator; rated [ICRA]AA-(Stable)[1]). FSBFL is the servicer for the transactions.

The rating actions factors in the build-up of the credit enhancement cover over the future PTC payouts on account of healthy pool amortisation and strong pool performance. The ratings also draws comfort from the fact that the breakeven collection efficiency is lower than the actual collection level observed in the pools till the September 2026 payout month.

Pool performance summary

Dhruva XXI 2023	Dhruva XXI 2023	Dhruva XX 2023	Dhruva XVIII 09 2023
Payout month	September 2026	September 2026	September 2026
Months post securitisation	36	36	36
Pool amortisation	65.29%	64.30%	64.46%
PTC Series A1/A1(a) amortisation	62.67%	71.44%	73.67%
Cumulative prepayment rate	38.33%	31.12%	34.58%
Cumulative collection efficiency	98.13%	97.70%	97.95%
Loss-cum-30+ days past due (dpd[2]; % of initial pool)	8.31%	10.81%	8.64%
Loss-cum-90+ dpd[3] (% of initial pool)	1.94%	2.52%	1.90%
Cumulative cash collateral utilisation	0.00%	0.00%	0.00%
Breakeven collection efficiency (BECC)[4] PTC Series A1/A1(a)	53.70%	47.33%	41.68%
Cash Collateral (CC) available (as % of balance pool principal)	14.40%	14.00%	14.07%
Principal subordination (% of balance pool) PTC Series A1/A1(a)	20.37%	28.01%	35.17%
Excess interest spread (EIS[5]; % of balance pool) PTC Series A1/A1(a)	29.65%	30.88%	30.47%

[1] *The current rating rationale of the originator, available at this link, provides its detailed rating history and rating transitions*

[2] *Inclusive of unbilled and overdue principal portion of delinquent contracts overdue by more than 30 days, as a % of Initial pool principal*

[3] *Inclusive of unbilled and overdue principal portion of delinquent contracts overdue by more than 90 days, as a % of Initial pool principal*

[4] *(Balance cash flows payable to PTC investor – CC available)/Balance pool cash flows*

[5] *(Pool cash flows – Cash flows to PTC – Originator's residual share)/Pool principal outstanding*

Transaction structure

Dhruva XXI 2023

The promised cashflow schedule for PTC Series A1(a) and PTC Series A1(b) on a monthly basis will comprise the interest (at the pre-determined yield on pari-passu basis) on the outstanding PTC principal on each payout date and the entire principal on the final maturity date for both series of PTCs. On each payout date, after meeting the promised PTC Series A1(a) and PTC Series A2(b) interest payouts, the balance collections would be passed on towards expected principal payouts to PTC Series A1(a). However, any prepayments will be used for payment of PTC Series A1(b) first while PTC Series A1(a) is live. Following the redemption of PTC Series A1(a), the entire principal payments will be paid to PTC Series A1(b) including prepayments. In case PTC Series A1(b) is redeemed earlier than PTC Series A1(a), the entire principal payments, including prepayments, will be made to PTC Series A1(a). Any surplus excess interest spread (EIS), after meeting the promised and expected payouts, will flow back to the Originator on a monthly basis.

Dhruva XX 2023

As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout. The principal is expected to be paid on a monthly basis (100% of the pool principal billed) but is promised on the final maturity date. Any surplus excess interest spread (EIS), after meeting the promised and expected payouts, will flow back to the Originator on a monthly basis. Any prepayment in the pool would be used for the prepayment of PTC Series A1 principal.

Dhruva XVIII 09 2023

As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout. The principal is expected to be paid on a monthly basis (100% of the pool principal billed) but is promised on the final maturity date. Any surplus excess interest spread (EIS), after meeting the promised and expected payouts, will flow back to the Originator on a monthly basis. Any prepayment in the pool would be used for the prepayment of PTC Series A1 principal.

Key rating drivers and their description

Credit strengths

Healthy pool performance – The pools' performance has been healthy with a cumulative collection efficiency exceeding 97.5% post the September 2026 payout for all pools, resulting in lower delinquency levels, with loss cum 90+ days past due (dpd) remaining below 2.75% across all pools. The break-even collection efficiency remains significantly lower than the actual collection levels observed in the pools.

Healthy build-up of credit enhancement – The rating factors in the build-up in the credit enhancement with the cash collateral and subordination increasing from the time of securitisation for all the trusts. Further, there have been no instances of cash collateral utilisation till date owing to the strong collection performance and the presence of subordination and EIS in the transactions.

Contracts backed by self-occupied residential properties – The pools are having contracts backed by self-occupied residential properties. This is expected to support the quality of the pools as it has been observed that borrowers tend to prioritise repayments towards such loans even during financial stress.

Adequate servicing capability of the originator – The company has adequate processes for servicing of the loan accounts in the securitised pool. It has a demonstrated track record of over 5 years of regular collections and recovery and has expanded its presence to 11 states with over 856 branches.

Credit challenges

High geographical concentration – The balance pools have high geographical concentration with the top 3 states Tamil Nadu, Telangana and Andhra Pradesh, contributing more than 85% to the balance pool principal amount. The pools' performance would thus be exposed to any state-wide disruption that may occur due to natural calamities, political events, etc.

Risks associated with lending business –The pools' performance would remain exposed to macro-economic shocks, business disruptions and natural calamities that may impact the income-generating capability of the borrowers and their ability to make timely repayments of their loans.

Key rating assumptions

ICRA's cash flow modelling for rating securitisation transactions involves the simulation of potential losses, delinquencies and prepayments in the pool. The losses and prepayments are assumed to follow a log-normal distribution. The assumptions for the losses and the coefficient of variation are considered on the basis of the values observed from the analysis of the past performance of the Originator's loan portfolio as well as the characteristics of the specific pool being evaluated. The resulting collections from the pool, after incorporating the impact of the losses and prepayments, are accounted for in ICRA's cash flow model, in accordance with the cash flow waterfall of the transaction.

For the current pools, ICRA has estimated the shortfall in principal collection and prepayments during the tenure as provided in the following table.

Transaction name	Estimated shortfall (% of initial pool principal)	Prepayment (p.a.)
Dhruva XXI 2023	2.50%	7%-27%
Dhruva XX 2023	3.00%	7%-27%
Dhruva XVIII 09 2023	2.50%	7%-27%

Various possible scenarios have been simulated at stressed loss levels and prepayment rates and the incidences of default to the investor as well as the extent of losses are measured after factoring in the credit enhancement to arrive at the final rating for the instrument.

Details of key counterparties

The key counterparties in the rated transaction are as follows:

Transaction Name	Dhruva XXI 2023	Dhruva XX 2023	Dhruva XVIII 09 2023
Originator	Five-Star Business Finance Limited	Five-Star Business Finance Limited	Five-Star Business Finance Limited
Servicer	Five-Star Business Finance Limited	Five-Star Business Finance Limited	Five-Star Business Finance Limited
Trustee	Catalyst Trusteeship Limited	Catalyst Trusteeship Limited	Catalyst Trusteeship Limited
CC holding Bank	Federal Bank	Federal Bank	Deutsche Bank AG
Collection and payout account Bank	Federal Bank	ICICI Bank Limited	Deutsche Bank AG

Liquidity position

For Dhruva XXI 2023

The liquidity for the PTC instruments is superior after factoring in the credit enhancement available to meet the promised payout to the investors. The total credit enhancement would be 6.75 times the estimated loss in the pool.

For Dhruva XX 2023

The liquidity for the PTC instruments is superior after factoring in the credit enhancement available to meet the promised payout to the investors. The total credit enhancement would be 7 times the estimated loss in the pool.

For Dhruva XVIII 09 2023

The liquidity for the PTC instruments is superior after factoring in the credit enhancement available to meet the promised payout to the investors. The total credit enhancement would be 8.75 times the estimated loss in the pool.

Rating sensitivities

For Dhruva XXI 2023

Positive factors – Sustained strong collection performance of the underlying pool of contracts, leading to lower-than-expected delinquency levels, and an increase in the cover available for future investor payouts from the credit enhancement would result in a rating upgrade for the pool.

Negative factors – Sustained weak collection performance of the underlying pool of contracts, leading to higher-than-expected delinquency levels and higher credit enhancement utilisation levels, would result in a ratings downgrade. Weakening in the credit profile of the servicer (Five-Star) could also exert pressure on the ratings.

For Dhruva XX 2023 and Dhruva XVIII 09 2023

Positive factors – Not applicable

Negative factors – Sustained weak collection performance of the underlying pool of contracts, leading to higher-than-expected delinquency levels and higher credit enhancement utilisation levels, would result in a rating downgrade. Weakening in the credit profile of the servicer (Five-Star) could also exert pressure on the ratings.

Analytical approach

The rating action is based on the performance of the pools till September 2026 (payout month), the present delinquency levels and the credit enhancement available in the pools, and the performance expected over the balance tenure of the pools.

Analytical Approach	Comments
Applicable rating methodologies	Rating Methodology for Securitisation Transactions
Parent/Group support	Not Applicable
Consolidation/Standalone	Not Applicable

About the Originator

Five-Star Business Finance Limited (FSBFL) is a Chennai-headquartered non-banking financial company (NBFC) extending secured loans to micro entrepreneurs and self-employed individuals, primarily in semi-urban markets. The company commenced operations in 1984, with a focus on consumer loans and vehicle finance. In 2005, it shifted its focus to small business loans with a typical loan ticket size of Rs. 2-10 lakh and an average ticket size of Rs. 3-5 lakh. Its loans are predominantly backed by self-occupied residential properties. As on June 30, 2026, the company had 856 branches across 11 states/Union Territories.

FSBFL was listed on the NSE and BSE in November 2022. As of June 2026, the individual promoters & promoter group (Mr. Lakshmipathy Deenadayalan and his family) held 18.4% in the company, being the single largest shareholder.

Key Financial Indicators

Five-Star Business Finance Limited	FY2025	FY2026	Q1FY2027
Total income	2,855	3,229	832
Profit after tax	1072	1099	271
Total managed assets	14,614	16,033	16,075

Five-Star Business Finance Limited	FY2025	FY2026	Q1FY2027
Gross stage 3	1.8%	3.4%	3.5%
CRAR	50.1%	51.9%	51.3%

Source: Company, ICRA Research; All ratios as per ICRA's calculations; Amount in Rs. crore

Status of non-cooperation with previous CRA: Not applicable

Any other information: Five-Star Business Finance Limited is rated by ICRA and its rating was never migrated to speculative / default category in the past. The current rating rationale of the originator, available at this link.

Rating history for past three years

Trust name	Instrument	Current rating (FY2027)			Chronology of rating history for the past 3 years			
		Initial rated amount (Rs. crore)	Current rated amount (Rs. crore)	Date & rating in FY2027	Date & rating in FY2026	Date & rating in FY2025	Date & rating in FY2024	
				Oct 30, 2026	Oct 31, 2025	Oct 15, 2024	Oct 05, 2023	Sep 29,2023
Dhruva XXI 2023	PTC Series A1(a)	85.50	31.91	**[ICRA]AA+(SO)**	**[ICRA]AA(SO)**	**[ICRA]AA(SO)**	**[ICRA]AA(SO)**	**Provisional [ICRA]AA(SO)**

Trust name	Instrument	Current rating (FY2027)			Chronology of rating history for the past 3 years			
		Initial rated amount (Rs. crore)	Current rated amount (Rs. crore)	Date & rating in FY2027	Date & rating in FY2026	Date & rating in FY2025	Date & rating in FY2024	
				Oct 30, 2026	Oct 31, 2025	Oct 15, 2024	Nov 06, 2023	Sep 29,2023
Dhruva XX 2023	PTC Series A1	124.98	35.69	**[ICRA]AAA(SO)**	**[ICRA]AA+(SO)**	**[ICRA]AA+(SO)**	**[ICRA]AA+(SO)**	**Provisional [ICRA]AA+(SO)**

Trust name	Instrument	Current rating (FY2027)			Chronology of rating history for the past 3 years			
		Initial rated amount (Rs. crore)	Current rated amount (Rs. crore)	Date & rating in FY2027	Date & rating in FY2026	Date & rating in FY2025	Date & rating in FY2024	
				Oct 30, 2026	Oct 27, 2025	Oct 15, 2024	Oct 13, 2023	Sep 22,2023
Dhruva XVIII 09 2023	PTC Series A1	351.89	92.67	**[ICRA]AAA(SO)**	**[ICRA]AAA(SO)**	**[ICRA]AAA(SO)**	**[ICRA]AAA(SO)**	**Provisional [ICRA]AAA(SO)**

Complexity level of the rated instrument

Trust name	Instrument	Complexity Indicator
Dhruva XXI 2023	**PTC Series A1(a)**	Highly Complex
Dhruva XX 2023	**PTC Series A1**	Highly Complex
Dhruva XVIII 09 2023	**PTC Series A1**	Highly Complex

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: Click Here

Annexure I: Instrument details

ISIN No.	Trust Name	Instrument	Date of Issuance / Sanction	Coupon Rate (p.a.p.m.)	Maturity Date	Amount Rated (Rs. crore)	Current Rating	Financial sector regulator#
INE0REI15019	**Dhruva XXI 2023**	PTC Series A1(a)	September 28, 2023	9.10%	September 19, 2029	31.91	[ICRA]AA+(SO)	RBI$
-	**Dhruva XX 2023**	PTC Series A1	September 28, 2023	9.10%	September 19, 2029	35.69	[ICRA]AAA(SO)	RBI
-	**Dhruva XVIII 09 2023**	PTC Series A1	October 03, 2023	9.20%	July 19, 2029	92.67	[ICRA]AAA(SO)	RBI

Source: Company

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Annexure II: List of entities considered for consolidated analysis

Not Applicable

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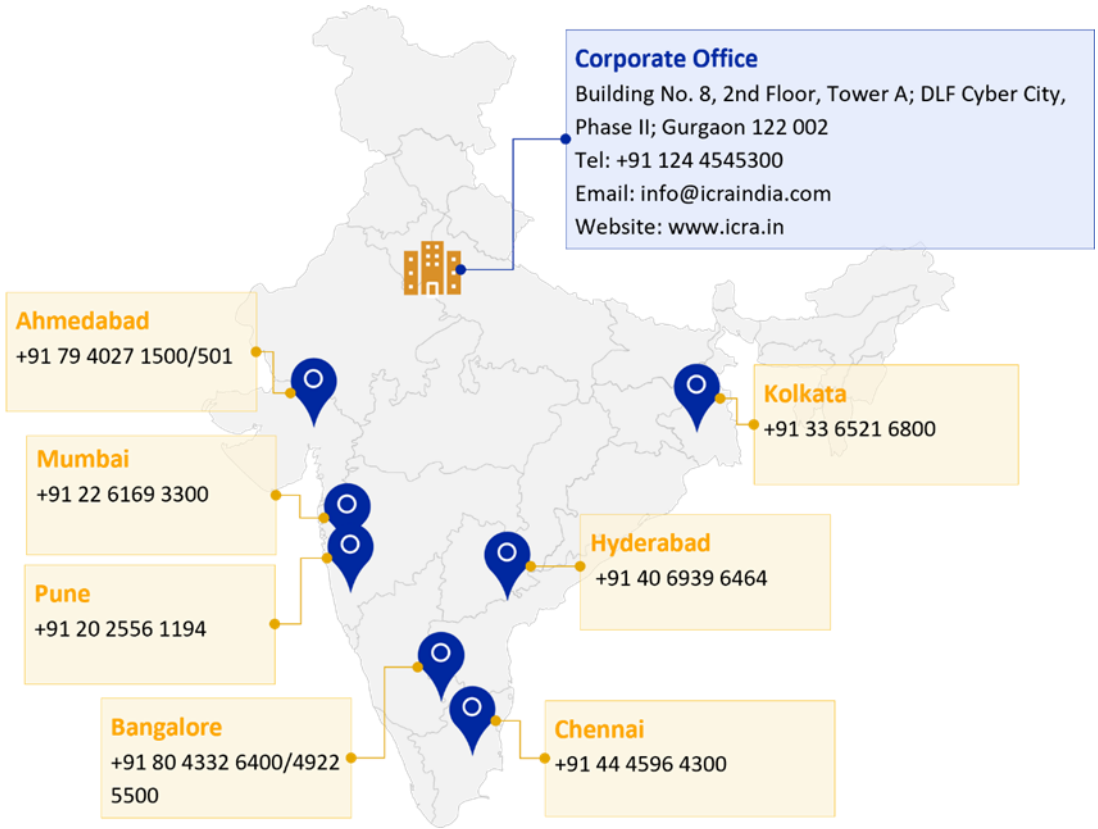
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